Building go-slow a drag on economy

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News

A decade-long collapse in the ability of the construction sector to quickly build reasonably priced houses is leaving young people unable to buy an affordable home, reveals groundbreaking research that challenges all political parties to overhaul the industry.

Ahead of a Reserve Bank board meeting which is likely to deliver borrowers the first cut in official interest rates in five years, research from the Productivity Commission found the country is building half as many homes per hour worked as it did in 1995.

Productivity in the housing sector has tumbled by 12 per cent over the past 30 years while it has climbed by 49 per cent across the rest of the economy. If economy-wide productivity had been on par with housing, the nation would be $1.1 trillion a year poorer.

In the 10 years to 2023-24, the average time to build a detached house climbed to 10.4 months from 6.4 months. Over the same period, the time to build new townhouses increased to 12.9 months from 9.4 months while for a block of apartments, build time jumped to 27.8 months from 18.5 months.

Commission chair Danielle Wood said young people were paying the price for poor productivity in the sector.

"Too many Australians, particularly younger Australians, are struggling to afford a home in which to live," she said. "Lifting the productivity of home-building will deliver more homes, regardless of what is happening with the workforce, interest rates or costs."

The report found a complex, slow approval process meant the timeline for new housing estates or apartment complexes can drag out for a decade or more, and only a small part of that time was actually spent on construction. It recommended all governments support an independent review of building regulation, including local council rules around new homes.

The commission found a lack of innovation across the sector and that many businesses were unable or unwilling to change how they build. There has been little take-up of advanced building technologies or processes such as pre-fabrication.

This is partly related to the small scale of many building companies. The average residential building company has fewer than two employees, much smaller than the average Australian business.

The commission also blames a shortage of skilled workers for the sector's woeful productivity levels. It said inconsistent occupational licensing arrangements across the country, limited opportunities for migrants to enter the sector and poor numbers of apprenticeships had all hurt housing construction.

The research also found that productivity in home-building had cratered across the world. The US and Britain have lower productivity than Australia.

Wood said all governments had to tackle the regulation around home construction.

"The sheer volume of regulation has a deadening effect on productivity. If governments are serious about getting more homes built, then they need to think harder about how their decisions unnecessarily restrict housing development and slow down the rate of new home building," she said.

Master Builders Australia chief executive Denita Wawn said the commission had made sensible recommendations that should be considered by all gov-

ernments.

'There is no silver bullet to solving woeful productivity in the industry, and it requires a co-ordinated and comprehensive approach by all levels of government," she said.

House-building has also been affected by the Reserve Bank's increase in official interest rates. Financial markets and most economists expect the RBA to start reversing after its two-day board meeting that begins today.